Understanding Innovation Paradoxes

Why Competing Convictions Matter and How to Analyse Them

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When Both Sides Have a Point

Imagine a management team discussing where to direct its innovation investment. The Head of R&D argues for developing distinctive technologies and expertise. New capabilities, she believes, can open opportunities that customers cannot yet imagine. If innovation always starts with expressed market demand, the organisation risks becoming very good at improving yesterday's products.

The Commercial Director disagrees. Innovation creates value only when it addresses a meaningful need. Without a clear understanding of customers and markets, technically impressive developments can become expensive solutions looking for a problem.

Both arguments are persuasive. Both reflect legitimate experience. Yet they imply different priorities for the same limited budget. (Smith & Lewis, 2011; Klokgieters, 2020).

The instinctive response is to decide which argument is stronger or to negotiate a compromise. But what if the disagreement reveals something more fundamental? What if both perspectives protect an essential source of innovation value, while each also becomes limiting when allowed to dominate?

This is where Innovation Paradox Thinking begins: not with a solution, but with a better understanding of the competing convictions.

What Makes an Innovation Paradox?

In my book Innovatieparadoxen (2020), I explored how competing convictions shape the way organisations think about and organise innovation. Many familiar innovation debates cannot be understood adequately as a contest between a correct and an incorrect view.

Consider Capability Push versus Market Pull. Capability Push holds that distinctive knowledge, expertise and technology should drive innovation, including possibilities customers do not yet recognise. Market Pull holds that customer needs and market opportunities should guide innovation towards outcomes people actually value.

These perspectives can complement each other. A team may develop a technology and then test its market relevance, or start with a customer problem and search for a technical solution. Neither situation automatically constitutes a paradox.

The paradox emerges when both convictions claim primacy. Capability Push argues that new capabilities must sometimes lead because the market cannot request what it has not yet imagined. Market Pull argues that customer value must lead because technical possibilities alone do not establish a worthwhile innovation. Each claim is defensible, yet their consequences for investment, priorities and decision-making can conflict.

That is why a paradox is different from an ordinary disagreement. It is not simply a choice between two options. It is a persistent tension between legitimate convictions, each claiming to be the guiding principle.

Why the Tension Matters

Strong convictions often grow from different experiences. An R&D leader may have seen a breakthrough emerge from exploratory work with no immediate commercial application. A commercial leader may have seen substantial resources invested in products that customers never adopted. Their experiences reinforce different beliefs about how innovation succeeds.

When those beliefs remain implicit, a discussion about one project can become a recurring struggle between functions. R&D may regard the commercial team as short-term oriented. The commercial team may regard R&D as detached from market reality. The underlying disagreement is no longer examined; it is simply repeated.

Both forms of dominance carry risks. An organisation led exclusively by Capability Push may confuse technical achievement with customer value. One led exclusively by Market Pull may become highly responsive to existing demand while missing opportunities that require capabilities customers cannot yet specify.

The challenge is therefore to understand what each conviction contributes, what it assumes and what could be lost if it prevails everywhere. That understanding creates a more useful foundation for strategic discussion than asking both sides merely to be more collaborative.

From Debate to Analysis

The Innovation Paradox Analysis Canvas, the Understand step of the Innovation Paradox Thinking Toolkit, gives leadership teams a structured way to examine this tension. It does not decide which conviction should win. It makes the reasoning behind both positions visible and clarifies where they collide.

The canvas follows five connected elements. We can illustrate them using the same Capability Push versus Market Pull example.

1. Define the innovation challenge

Start with the practical question facing the organisation. In our example: How should a growing technology business allocate innovation resources between developing new capabilities and responding to demonstrated customer needs? The underlying question is not simply where the innovation budget should go, but how the organisation can continue creating customer value while developing capabilities for future opportunities. A concrete challenge prevents the discussion from becoming an abstract debate about innovation philosophies.

2. Examine dominant conviction A: Capability Push

Articulate the conviction fairly: distinctive organisational capabilities should be the primary driver of innovation because important breakthroughs may precede expressed market demand. Examine its supporting arguments, experiences and evidence. Ask which assumptions remain untested and what the organisation might lose if this perspective were ignored.

3. Examine dominant conviction B: Market Pull

Give the opposing conviction equal attention: customer needs should be the primary driver because innovation creates value through meaningful market application. Explore its evidence and assumptions with the same care. A balanced analysis does not make one perspective more credible simply because it is represented by a more powerful function.

4. Identify the paradox tension

Make the collision specific. The two convictions can produce different investment priorities, time horizons and criteria for success. Should scarce resources go towards an emerging technical platform or towards

improvements requested by existing customers? What happens when one set of criteria becomes decisive for every project? Where does the tension create polarisation, delays or missed opportunities?

5. Develop shared understanding

Capture what has been learned without forcing agreement. Both convictions may be essential; both may become restrictive when applied universally. Record the remaining uncertainties and formulate the tension in a way that advocates of either perspective recognise as fair.

> *Capability Push claims primacy because distinctive capabilities can create opportunities before markets articulate demand. Market Pull claims primacy because innovation must address meaningful customer needs. Their competing claims create tension over priorities, resource allocation and how success is judged.*

This statement does not solve the paradox. It establishes three things: what each conviction contributes, what may be lost when either dominates, and which strategic questions remain unresolved. That makes the tension sufficiently precise for the next conversation.

What the Canvas Changes

A completed canvas is not valuable because every box contains text. It is valuable when the discussion changes. Leaders can distinguish experience from evidence, identify assumptions that need testing and recognise the consequences of allowing either conviction to dominate.

The analysis may reveal interdependence: new capabilities need valuable applications, while emerging customer opportunities may require capabilities that do not yet exist. But acknowledging that interdependence is not the same as deciding how innovation should be organised.

A useful test is whether supporters of both convictions recognise their position in the analysis, even if they still disagree. Another is whether the resulting tension is concrete enough to inform future choices. Shared understanding does not require shared preference.

The accompanying A3 Innovation Paradox Analysis Canvas includes a blank version for your own organisation and a worked Capability Push versus Market Pull example. The worked example deliberately ends with an unresolved tension, rather than a proposed solution.

Understanding Is Only the Beginning

Innovation paradoxes are not necessarily problems to eliminate. They often reveal different and legitimate perspectives on how value is created. Understanding them can replace unproductive polarisation with a more informed conversation about assumptions, risks and opportunities.

But recognising why both convictions matter does not make the tension disappear. Our management team still has to decide how to respond. Should the perspectives be integrated, given different roles, allowed to alternate as conditions change, or used to explore a new way of organising innovation?

Understanding the paradox tells us what is at stake. It does not yet tell us how to respond.

In Part 2, Responding to Innovation Paradoxes, we return to Capability Push versus Market Pull and explore four distinct response directions. Each opens different possibilities, and each raises different questions for innovation and value creation.

> *The next question is not simply why both convictions matter. It is: what can we do with the tension between them?*

ABOUT THIS SERIES

Innovation Paradox Thinking is a three-part series exploring how leaders can understand competing convictions, examine possible responses and make strategic choices that support organisational value creation.

Author: Koen Klokgieters, InnoPlot. Based on Innovatieparadoxen (2020) and the InnoPlot Innovation Paradox Thinking Toolkit. The example is illustrative rather than an empirical case study.

About the Author

Koen Klokgieters is the founder of InnoPlot and has spent more than three decades working at the intersection of strategy, innovation, technology and organisational transformation. His experience combines corporate leadership, consulting, entrepreneurship and education.

Through InnoPlot, he supports organisations and their leaders in translating strategic challenges into innovation capabilities, organisational change and measurable impact.

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Selected references

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